

CAR LEASE AGREEMENT - COMPACT VERSION

Agreement Date: January 23, 2026

Lease Reference Number: LEASE-2026-009156

1. THE PARTIES

LESSOR: Swift Motors Finance Limited

- Address: 567 Business Park, Mumbai – 400001, Maharashtra, India
- Contact: +91-22-1234-5678
- Email: leasing@swiftmotors.co.in
- Authorized Signatory: Deepak Gupta, Head of Leasing

LESSEE: Neha Singh

- Date of Birth: 20th May, 1992
 - PAN: DLEPS4321M
 - Aadhar Number: 5678 9012 3456
 - Address: Apt 301, Metropolis Towers, Bandra, Mumbai – 400050
 - Contact: +91-99123-45678
 - Email: neha.singh92@email.com
 - Occupation: Finance Manager
 - Employment: GlobalTech Solutions, Mumbai
 - Annual Income: ₹24,00,000 (Gross)
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2. VEHICLE SPECIFICATIONS

- **Make and Model:** Toyota Fortuner 2.8L Diesel SUV
 - **Variant:** 4x2 Manual
 - **Color:** Pearl Black
 - **VIN:** MA2TJ5C12H7845123
 - **On-Road Price:** ₹18,50,000
 - **New Vehicle - Current Odometer:** 10 km (delivery mileage)
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3. LEASE TERM

- **Lease Duration:** 48 months (4 years)
 - **Commencement Date:** February 15, 2026
 - **Termination Date:** February 14, 2030
 - **Lease Reference:** LEASE-2026-009156
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4. FINANCIAL TERMS

4.1 Down Payment

- **Amount:** ₹3,70,000 (20% of vehicle price)
- **Due Date:** Upon Agreement execution
- **Status:** Non-refundable

4.2 Monthly Lease Payment

- **Amount:** ₹14,650 per month
- **Due Date:** 10th of every calendar month
- **First Payment:** March 10, 2026
- **Total Payments:** 48 EMIs
- **Total Amount Payable:** ₹7,03,200

4.3 Payment Components

Component	Amount (₹)
Depreciation	8,200
Interest (APR 8.25%)	4,450
Maintenance	1,800
Total Monthly	14,650

4.4 One-Time Charges

- Processing Fee: ₹2,000
- Documentation: ₹1,500
- Total Upfront: ₹3,500

5. ANNUAL PERCENTAGE RATE (APR)

- **APR:** 8.25% per annum
- **Money Factor:** 0.00344 (APR ÷ 2,400)
- **Monthly Interest Calculation:** $0.00344 \times (\text{Net Cap Cost} + \text{Residual Value})$
- **Rate Lock:** Fixed for entire 48-month lease period

6. RESIDUAL VALUE AND DEPRECIATION

- **Residual Value:** ₹6,35,000
- **Residual as % of Price:** 34.4% of on-road price
- **Monthly Depreciation:** ₹8,200
- **Calculation:** $(\text{₹14,80,000} - \text{₹6,35,000}) \div 48 \text{ months} = \text{₹8,200}$

At Lease End: If actual value < residual value, Lessee liable for difference (capped at 3× monthly payment = ₹43,950). Gap Insurance covers this shortfall if opted.

7. MILEAGE ALLOWANCE AND CHARGES

7.1 Allowed Mileage

- **Total Allowance:** 72,000 km (48 months)
- **Annual Limit:** 18,000 km per year
- **Monthly Average:** 1,500 km

7.2 Excess Mileage Charges

Excess Amount	Charge Per Km
0 – 8,000 km	₹18
8,001 – 16,000 km	₹20
16,001+ km	₹25

Example: If Lessee drives 76,000 km (4,000 km excess), charge = $4,000 \times ₹18 = ₹72,000$

8. INSURANCE AND MAINTENANCE

8.1 Comprehensive Insurance

- **Coverage:** Own damage, third-party liability, theft, natural calamities
- **Premium:** Included in monthly lease payment
- **Deductible:** ₹12,000 per claim
- **Lessor as Loss Payee:** Yes
- **Duration:** Entire 48-month lease period

8.2 Maintenance Coverage (Included)

- Scheduled servicing (every 5,000 km)
- Oil and filter changes
- Brake pads, belts, hoses (wear items)
- Air filter replacement
- Fluid top-ups
- **Service Only At:** Authorized Toyota service centers

8.3 Optional Gap Insurance

- **Premium:** ₹8,000 (one-time)
 - **Coverage:** Covers gap between insurance settlement and outstanding lease balance in case of total loss
 - **Benefit:** Protects Lessee from shortfall liability
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9. WEAR AND TEAR POLICY

9.1 Acceptable Wear (No Charge)

- Minor scratches (<3mm) on paint
- Light interior wear, surface marks
- Normal tire wear to legal limit (1.6mm)
- Minor window chips <3mm
- Light upholstery fading

9.2 Excess Damage Charges

Damage Type	Typical Charge
Deep dents (>25mm)	₹6,000 – 18,000
Cracked windshield	₹10,000 – 15,000
Torn upholstery	₹4,000 – 12,000
Major paint damage	₹10,000 – 25,000
Engine/transmission damage	Full repair cost

Inspection: Final inspection conducted 7 days before lease termination; Lessee has 10 days to dispute charges.

10. EARLY TERMINATION CLAUSE

10.1 Early Termination Fee Structure

Termination Period	Penalty
Before 12 months	₹85,000 + remaining balance
12-24 months	₹60,000 + remaining balance
24-36 months	₹40,000 + remaining balance
36-48 months	₹20,000 + remaining balance

10.2 Conditions for Early Termination

- No payment defaults
- Mileage within pro-rated allowance
- Vehicle in acceptable condition (normal wear only)
- Comprehensive insurance valid
- 30 days' written notice required

Example (Termination at 24 months):

- Remaining EMIs (24 months): $24 \times ₹14,650 = ₹3,51,600$
- Early Termination Fee: ₹60,000
- Total Due: ₹4,11,600 (subject to mileage and condition verification)

11. PURCHASE OPTION AT LEASE END

- **Purchase Price:** ₹6,35,000 (residual value)
- **Payment Method:** Lump sum or bank financing
- **Timeline:** On or before February 14, 2030
- **Ownership Transfer:** Full ownership upon payment
- **Registration:** Lessor assists in transfer to Lessee's name
- **Warranty:** Manufacturer warranty remains valid

Conditions: Mileage $\leq$ 72,000 km, normal wear only, all charges settled, insurance valid through lease end.

12. LATE FEES AND PAYMENT DEFAULT

12.1 Late Payment Charges

Days Late	Charge
1-10 days	Grace period (no charge)
11-20 days	₹750 or 6% of EMI, whichever is higher
21-30 days	₹2,000 or 10% of EMI, whichever is higher
Beyond 30 days	₹4,000 + 12% annual interest

12.2 Default Consequences

- Credit score impact
- Demand notice issued
- Interest acceleration on remaining balance
- Vehicle repossession initiated after 45 days
- Legal recovery action and damages claim

12.3 Security Deposit (Optional)

- **Amount:** ₹43,950 ($3 \times$ monthly EMI)
 - **Purpose:** Protection against defaults, excess mileage, wear & tear charges
 - **Refund:** Within 30 days of lease end after settling all charges
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13. VEHICLE USE RESTRICTIONS

Permitted Use: Personal and business commuting only

Prohibited Use:

- Taxi/ride-sharing (Uber, Ola)
- Goods transportation/delivery
- Commercial rental services
- Off-road driving or racing
- Towing heavy loads
- Carrying hazardous materials
- Unlicensed modifications
- Pledging as collateral

Penalty for Violation: Immediate lease termination + full vehicle replacement cost recovery (₹18,50,000) + termination penalties.

14. MAINTENANCE AND SERVICE COVENANTS

The Lessee shall:

1. **Service Every 5,000 km or 3 months** (whichever comes first) at authorized Toyota service center
2. **Maintain Complete Service Records** with receipts provided to Lessor upon request
3. **Use OEM Spare Parts Only** – no aftermarket components
4. **Check Fluids Monthly** – engine oil, coolant, brake fluid, windshield washer
5. **Rotate Tires Every 10,000 km** to ensure even wear
6. **Maintain Valid PUC Certificate** as per RTO requirements
7. **Report Mechanical Issues Immediately** – do not operate with known defects
8. **Renew Road Tax and Registration** on time; Lessor bears road tax, Lessee bears registration

Breach: Failure to maintain vehicle results in forfeiture of warranty and potential lease termination.

15. END-OF-LEASE PROCEDURES

15.1 End-of-Lease Notification

Lessor notifies Lessee **60 days before termination** regarding:

- Vehicle return procedures
- Final inspection schedule
- Available options (purchase, return, extend, upgrade)
- Outstanding charges (if any)

15.2 Final Inspection

- **Timing:** 5-7 days before lease end (February 7-12, 2030)
- **Location:** Authorized Toyota service center or Lessor's facility
- **Duration:** 1-2 hours
- **Documentation:** Detailed inspection report with photos

15.3 Vehicle Return Condition

Vehicle must be returned:

- In drivable condition (engine starts, brakes functional)
- Clean interior and exterior (professional detailing)
- Fuel tank $\geq 1/4$ full (or Lessee pays refueling charge ₹300-400)
- 2 sets of keys, owner's manual, service booklet, original accessories

15.4 Final Settlement

Item	Amount
Security Deposit (if provided)	+₹43,950
Excess Mileage (if any)	-₹ charged
Wear & Tear Damage (if any)	-₹ charged
Outstanding Charges (if any)	-₹ charged
Net Refund/Due	Calculated

16. DISPUTE RESOLUTION AND GOVERNING LAW

16.1 Jurisdiction

- **Governing Law:** Laws of India (Indian Contract Act, 1872; Motor Vehicles Act, 1988)
- **Exclusive Jurisdiction:** Courts in Mumbai, Maharashtra
- **Venue:** Mumbai district courts for all legal proceedings

16.2 Grievance Resolution

Step 1 (Days 1-10): Contact Customer Service: +91-22-1234-5678

Step 2 (Days 11-20): Escalate to Grievance Redressal Officer: grievance@swiftmotors.co.in

Step 3 (Days 21-60): Third-party mediation

Step 4 (Day 61+): Legal action or RBI Ombudsman complaint

16.3 Consumer Protection

Lessee entitled to consumer protection under Consumer Protection Act, 2019, including right to file complaint with District Consumer Protection Authority at no cost.

17. GENERAL PROVISIONS

17.1 Entire Agreement

This Lease Agreement (including all schedules and amendments) is the complete agreement and supersedes all prior understandings.

17.2 Confidentiality and Data Privacy

Both parties maintain confidentiality except as required by law, regulatory authorities, or for credit reporting. Personal data processed per Information Technology Act, 2000 and Digital Personal Data Protection Act, 2023.

17.3 Assignment

- **Lessor's Right:** May assign/transfer lease to any third party without Lessee's consent
- **Lessee's Restriction:** May not assign any rights without Lessor's written consent
- **Transfer Fee:** ₹5,000 (if Lessee seeks lease transfer approval)

17.4 Force Majeure

Neither party liable for failure due to unforeseeable circumstances (natural disasters, war, pandemics, government actions). **Exception:** Lessee's obligation to pay EMI continues unless temporary suspension formally granted in writing.

17.5 Amendments

Any modifications require:

- Written consent from both parties
- Formal addendum/amendment deed signed by authorized representatives
- Effectiveness from specified date (no retroactive effect)

18. ACKNOWLEDGMENT AND EXECUTION

The Lessee hereby acknowledges:

1. Read and understood all terms and conditions
 2. Had adequate time to review and seek legal advice
 3. Entering voluntarily without duress
 4. Accepts all terms exactly as stated
 5. Understands rights, obligations, and consequences
 6. Provided accurate and truthful information
 7. Understands vehicle is leased (not owned); ownership remains with Lessor
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19. SIGNATURES

FOR SWIFT MOTORS FINANCE LIMITED:

Signature: _____

Name: Deepak Gupta

Title: Head of Leasing

Date: _____

Corporate Stamp: [Lessor's Official Seal]

FOR THE LESSEE:

Signature: _____

Name: Neha Singh

Date of Birth: 20-May-1992

Contact: +91-99123-45678

Date: _____

WITNESS:

Signature: _____

Name: _____

Date: _____

20. QUICK REFERENCE SUMMARY

Term	Value
Lessee	Neha Singh
Vehicle	Toyota Fortuner 2.8L Diesel 4x2 Manual
Lease Period	48 months (Feb 15, 2026 – Feb 14, 2030)
Down Payment	₹3,70,000 (20%)
Monthly Payment	₹14,650
APR	8.25% per annum
Money Factor	0.00344
Total Payments	₹7,03,200 (48 × ₹14,650)
Residual Value	₹6,35,000 (34.4% of price)
Mileage Allowance	72,000 km (18,000 km/year)
Excess Mileage Charge	₹18-25 per km
Late Fee	6-12% of EMI + flat charges
Early Termination Fee	₹20,000 – ₹85,000
Purchase Option	₹6,35,000 at lease end
Insurance Deductible	₹12,000 per claim
Gap Insurance (Optional)	₹8,000
Security Deposit (Optional)	₹43,950

END OF COMPACT CAR LEASE AGREEMENT

Prepared for AI/LLM Dataset Training – Sample Agreement for Contract Analysis

Disclaimer: All details are fictional sample data for machine learning training purposes.